

**SGX NIKKEI STOCK AVERAGE
FUTURES CONTRACT SPECIFICATIONS**

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1. SCOPE OF CONTRACT SPECIFICATIONS AND DEFINITIONS

These Nikkei Stock Average Futures contract specifications (“**these Specifications**”) govern futures trading in the Nikkei Stock Average on the SGX-DT Market. The rules and procedures for trading that are not specifically covered in these Specifications shall be as set forth in the Trading Rules.¹ Capitalized terms used herein and not otherwise defined shall have the meanings ascribed to them under the Trading Rules. For the purposes of these Specifications and unless the context otherwise requires, the following capitalized terms shall have the meanings set forth below:

Futures Contract	Refers to the Nikkei Stock Average futures contract traded on the SGX-DT Market;
Cooling Off Period	Refers to a period of fifteen (15) minutes or such other period as the Exchange may from time to time prescribe during which each Futures Contract may only continue to be traded at or within its Price Limits for the time being in force;
Final Lower Limit	Refers to a price of twelve and a half percent (12½%) or such other amount as the Exchange may prescribe from time to time below the previous Trading Day’s Daily Settlement Price for such Futures Contract;
Final Upper Limit	Refers to a price of twelve and a half percent (12½%) or such other amount as the Exchange may prescribe from time to time above the previous Trading Day’s Daily Settlement Price for such Futures Contract;
Initial Lower Limit	Refers to a price of seven and a half percent (7½%) or such other amount as the Exchange may prescribe from time to time below the previous Trading Day’s Daily Settlement Price for such Futures Contract;
Initial Upper Limit	Refers to a price of seven and a half percent (7½%) or such other amount as the Exchange may prescribe from time to time above the previous Trading Day’s Daily Settlement Price for such Futures Contract;
Nikkei Stock Average	Refers to a price-weighted index of selected stocks listed in the first section of the Tokyo Stock Exchange, compiled by Nihon Keizai Shimbun, Inc or Nikkei Digital Media, Inc;
Option Contract	Refers to the Option on Nikkei Stock Average Futures contract traded on the SGX-DT Market;
OSE	Refers to the Osaka Securities Exchange;
USD Nikkei Stock	Refers to the US dollar-denominated Nikkei Stock Average Futures

¹ Trading Rules refers to the Futures Trading Rulebook, which may be found on the Exchange’s website at <http://www.sgx.com>.

Average Futures	contract traded on the SGX-DT Market.
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2. TRADING

2.1 Trading Months and Hours

The Futures Contract shall be listed for such Contract Months and scheduled for trading during such hours as may be determined by the Exchange.

2.2 Contract Value and Trading Unit

Each Futures Contract shall be valued at five hundred (500) Japanese Yen times the Futures Contract price. The trading unit shall be five hundred (500) Japanese Yen times the Futures Contract price.

2.3 Minimum Fluctuations

Bids and offers shall be quoted in index points. The minimum fluctuation of the Futures Contract traded as outright trades shall be five (5) index points, equivalent to two thousand five hundred (2,500) Japanese Yen per Futures Contract, while the minimum fluctuation of the Futures Contract traded as calendar spreads or as part of any other strategy trades shall be one (1) index point, equivalent to five hundred (500) Japanese Yen per Futures Contract.

2.4 Position Limits

Unless otherwise approved by the Exchange and subject to Rule 4.1.18 of the Trading Rules, a Person shall not own or control any combination of Futures Contracts and Option Contracts on the Nikkei Stock Average futures that exceeds an equivalent of ten thousand (10,000) contracts net in the Futures Contracts, on the same side of the Market, and in all Contract Months combined.

2.5 Computation of Positions

For the purpose of computing positions for compliance with clause 2.4:

- (a) the USD Nikkei Stock Average Futures shall be adjusted to its equivalent of the Futures Contract by a conversion rate as determined by the Exchange from time to time;
- (b) the Mini Nikkei Stock Average Futures shall be deemed to be equal to one-fifth (1/5) of a Futures Contract;
- (c) the futures-equivalent of an Option Contract is the relevant option delta computed by Clearing House for the option series; and
- (d) a long call Option Contract, a short put Option Contract, and a long Futures Contract are on the same side of the Market. Conversely, a short call Option Contract, a long put Option Contract, and a short Futures Contract are on the same side of the Market.

2.6 Price Limits and Cooling Off Period

There shall be no trading in any Futures Contract at a price above its Initial Upper Limit or below its Initial Lower Limit except as provided for in this clause 2.6 and clause 2.7. If the price for any Futures Contract reaches either its Initial Upper Limit or Initial Lower Limit, the Exchange will signal a Cooling Off Period. After such Cooling Off Period, the respective Final Upper Limit and Final Lower Limit for each Futures Contract shall come into effect for the remainder of the Trading Day.

2.7 Price Limits on Last Trading Day

Notwithstanding clause 2.6, there shall be no Price Limits on the Last Trading Day for an expiring Futures Contract after a Cooling Off Period signalled pursuant to clause 2.6, and no Price Limits shall come into effect during the last thirty (30) minutes before the close of trading on the Last Trading Day for the expiring Futures Contract. However, if the Cooling Off Period signalled pursuant to clause 2.6 should overlap into the last thirty (30) minutes of the trading session, the portion of the Cooling Off Period which overlaps into the last thirty (30) minutes of the trading session shall continue to remain in force.

2.8 Trigger for Price Limits

The Initial Upper Limit and Initial Lower Limit shall be deemed to have been reached upon the making of the first unsatisfied bid at the Initial Upper Limit in part or in whole, or the first unsatisfied offer at the Initial Lower Limit in part or in whole, as the case may be.

2.9 Termination of Trading

Trading in each Futures Contract shall terminate on the last trading day of the Nikkei Stock Average futures contract traded on the OSE.² However, if such day is not a day when the Exchange is open for trading in the Futures Contract, the Last Trading Day shall instead be the immediate preceding Business Day when the Exchange is open for trading in the Futures Contract.

3. CLEARING AND SETTLEMENT

Settlement under these Specifications shall be by cash settlement.

3.1 Final Settlement Price

The Final Settlement Price shall be the final settlement price (or other analogous concept employed in the OSE) which is used to settle the Nikkei Stock Average futures contract at OSE and determined according to such methods utilised by OSE as approved by the Exchange. This value will usually be based on the opening quotation of the Nikkei Stock Average on the second Friday of the Contract Month.

3.2 Alternative Resolution of Final Settlement Price

Notwithstanding clause 3.1, the Exchange and the Clearing House may, where the Final Settlement Price prescribed in clause 3.1 is not available, resolve that the Final Settlement Price shall be determined by other means in accordance with Rule 4.1.20 of the Trading Rules. The decision of the Exchange and the Clearing House shall be binding upon all parties to the Futures Contract.

² The last trading day on OSE is usually the day before the second Friday of the contract month.

3.3 Final Settlement

Clearing Members holding Open Positions in a Futures Contract at the time of termination of trading in that Futures Contract shall make payment to or receive payment from the Clearing House in accordance with normal variation margin procedures, based on a settlement price equal to the Final Settlement Price.

3.4 Other Rules and Procedures for Clearing and Settlement

The rules and procedures for clearing and settlement that are not specifically covered in these Specifications shall be governed by the Clearing Rules.³

³ The Clearing Rules refers to the SGX-DC Clearing Rules, which may be found on the Exchange's website at <http://www.sgx.com>.